

International Finance

Course Objectives

International finance broadly concerned with international monetary and macroeconomic interrelations between two or more countries. This course provides a scrupulous introduction to the fundamental principles of international financial management and investment. The main focus of the course is on foreign exchange and international capital markets. Overall, international finance examines the dynamics of the global financial system, international monetary system, balance of payments, exchange rates, foreign direct investment, and their effects on international trade.

Course Contents

1. International Economics

Importance of international economics; international trade and standard of living; subject matter of international economics; international economics challenges.

2. International Resources Movement

Introduction; types of international capital flows; motives of international capital flows; effects of international capital flows on host and investing countries.

3. Balance of Payment

Introduction; balance of payment accounting principles; balance accounting and disequilibrium in international transactions; IMF methods of reporting balance of payment.

4. Exchange rate and Foreign Exchange Market

Introduction; exchange rate dynamics; functions of foreign exchange market; equilibrium in exchange rate; cross exchange rates; exchange rate and balance of payment; spot and forward exchange rate; foreign exchange rate risks, hedging, arbitrage and speculation; determination of exchange rate; purchasing power parity theory; automatic adjustment with flexible and fixed exchange rate. Effects of monetary and fiscal policy on exchange rate.

5. Income Adjustment Mechanism

Income determination in a close economy; income determination in an open economy; international monetary system, past, present and future and problems of international monetary system.

Recommended Books

1. Krugman, P. R., Obstfeld, M. and Melitz, M. (2018). *International Economics*. 11th Edition. Pearson.
2. Salvatore, D. (2019). *International Economics*. 13th Edition. John Wiley & Sons, Inc.
3. Appleyard, R. D. and Field, S. J. JR. (2017). *International Economics*. 9th Edition. McGRAW-HILL Education.

4. Pugel, T. A. (2016). International Economics. 16th Edition. McGRAW-HILL Education.

Note: 1. Duration of course will be 10 weeks.
2. Total 10 lectures of two hours duration will be delivered.
3. Class time will be from 7:00 pm to 9:00 pm, once a week.
4. Atleast 75% attendance is required to get a certificate.